mania that culminated at the top of Supercycle wave (II). Investors view the market as a compelling buying opportunity that will lead to substantial new highs in bond prices and have adopted the mental posture that focuses on good news and denies the existence of bad news. They contend that the Fed has succeeded in reining in inflation, the government has become fiscally conservative, and the economy is "under control" and due for a "soft landing," making lower rates assured. Even the falling dollar is bullish, they say, because when it finally stops, as it must somewhere, bonds will soar. That bond yields are way above the rate of inflation is taken as a sign that the market is *wrong* and will soon come to its senses. We will soon see how this conventional wisdom fares.

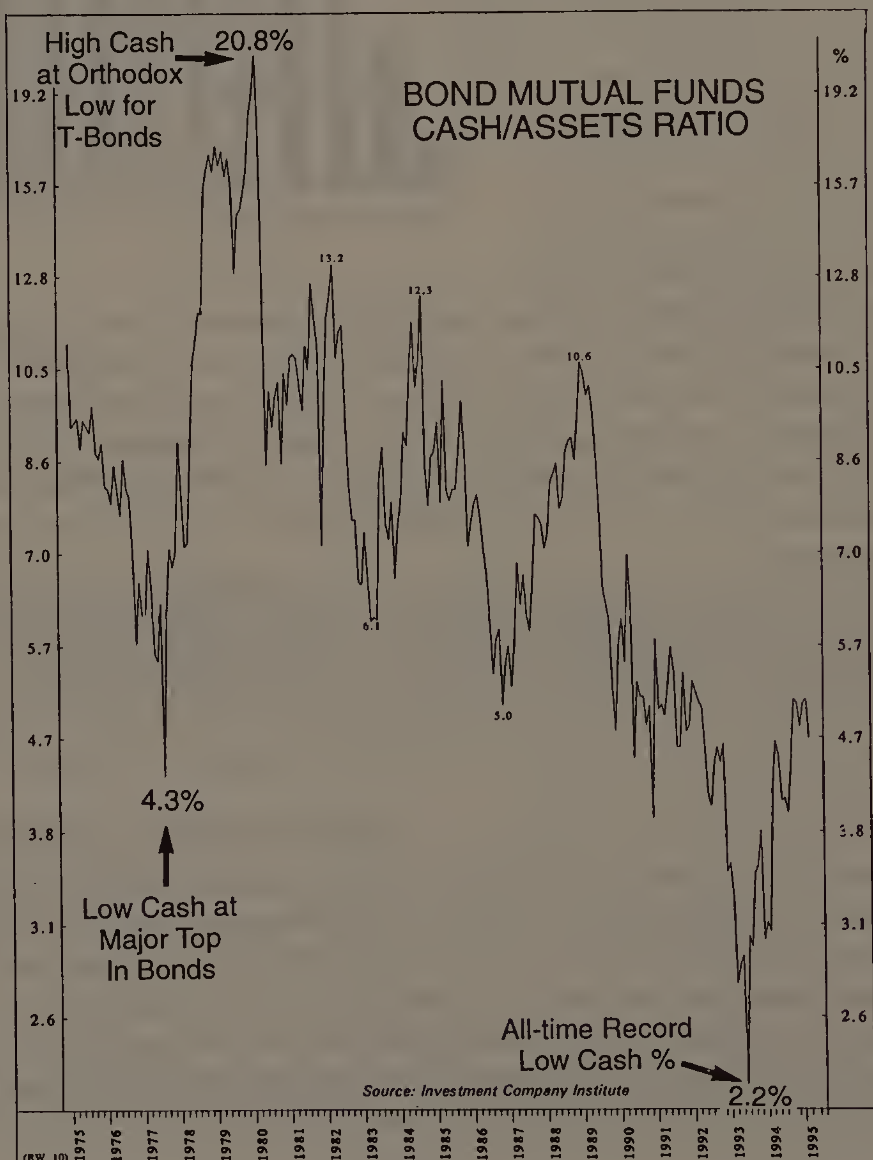

Figure 16-13